

**Time:** 5 minutes**Outcome:** Analyze redistribution, shoeleather costs, menu costs, and price distortions.**Difficulty:**

Intermediate

Costs of Inflation



THE CORE IDEA

Inflation redistributes purchasing power when it differs from expectations and creates shoeleather, menu, and relative-price costs. Actual inflation was higher than expected, so borrowers repay with less valuable dollars. Menu costs are costs of changing posted prices. Shoe-leather costs refer to the time and effort people spend reducing money holdings when inflation is high. Shoeleather costs are the wasted effort people spend trying to hold less money during inflation.



HOW TO RECOGNIZE IT

- Shoe-leather costs refer to the time and effort people spend reducing money holdings when inflation is high.
- Shoeleather costs are the wasted effort people spend trying to hold less money during inflation.
- Menu costs are the costs firms face when they change posted prices.
- The graph shows inflation after monetary expansion. Firms repeatedly changing posted prices is menu cost.
- Menu costs are the costs of changing posted prices.



WATCH OUT

Do not confuse shoeleather costs with menu costs. Shoeleather costs are the wasted effort people spend trying to hold less money during inflation.



WORKED EXAMPLE: UNEXPECTED INFLATION REDISTRIBUTION

A lender makes a 9% loan expecting 3% inflation, so the expected real return is 6%. Actual inflation turns out to be 10%, making the realized real return approximately $9\% - 10\% = -1\%$. Unexpected inflation transfers purchasing power from the lender to the borrower.



CHECK YOURSELF

A student says, "If everyone correctly expects 6 percent inflation, inflation has no economic costs." Which response is best?

**READY?**

Return to the game and master this concept.